CLASS X ECONOMICS — EXAM REVISION NOTES

8 chapters · diagrams · formulas · model answers · every question of 2 papers solved

Built from the **Class X Economics textbook (Reprint 2024)** and the **BCSE 2025** and **2024** Economics question papers (Final I). Every Section A item and every Section B part in both papers is answered inside, in the order of the chapters.

How to use: Orange tags show where a topic appeared: P25 Q2a = 2025 paper question 2(a); P24 Q1e(iv) = 2024 paper Q1(e)(iv). Each chapter starts with **short notes taken from the textbook** (definitions, lists, diagrams), then **solved questions** in green boxes with the mark value in brackets and the key answer in **red**. Diagrams are drawn so you can copy them in the exam: **label both axes, name each curve, mark E**. A formula sheet and the full Section A answer key are at the back.

⚠ **Read this first — limits of these notes** The papers came without marking schemes, so the model answers are written from the textbook and standard Class X Economics; wording of points may differ from your teacher's scheme, but the ideas are the ones to write. Items marked **(check)** are open to more than one reading: **(a) 2025 Q1(x)** — the diagram shows supply shifting right, so I chose "better facilities"; **(b) 2025 Q1(xviii)** — urban non-food spending is higher mainly because the cost of living is high (D), though C and B are also plausible; **(c) 2024 Q1(ix)** — a footballer uses physical ability *and* tactical knowledge, so I chose D; **(d) 2024 Q1(xi)** — the textbook says lower consumption means higher saving, and investment rises when savings rise (A); **(e) 2024 Q3(b)** — the paper does not say how the loan is repaid, so I use the textbook compound-interest method (total amount ÷ 60 months) and show the usual bank (EMI) figure beside it; **(f) 2024 Q1(e)(i)** and similar "do you think" questions have no single right stand — write a clear stand and two reasons.

Paper pattern (2025 & 2024, 100 marks)

Part	Content	Marks
Sec A Q1(a)	20 MCQ (1 mark each)	20
Q1(b)	5 fill in the blanks	5
Q1(c)	5 matching (column A with B)	5
Q1(d)	5 True / False	5
Q1(e)	8 short answers: 7 × 2 marks ("support with TWO points") + 1 × 1 mark	15
Sec B Q2–Q7	Attempt **any FIVE of the six** questions, 10 marks each; every question has parts (a)–(d) of 2, 3, 2 and 3 marks (or 2, 3, 2 + a graph/calculation)	50

How marks are given

- **"TWO points / THREE reasons":** one mark per correct point with a short explanation. Write exactly the number asked, in separate lines or numbered.
- **"Justify", "Do you agree?", "Do you think":** first write your **stand** (Yes / No / partly), then the **reasons**. Use the idea from the textbook plus a Bhutanese example.
- **Diagrams:** axes with names (Quantity / Wage rate / Price), curves labelled D, S, new curve D_1 or S_1, E and E_1, dotted lines to the axes, and one line to say what happened to price and quantity.
- **Calculations:** formula, substitution, answer with unit (Nu, %, kg). Graphs: scale, labels, title, plotted points and bars.
- **"Differentiate"** needs a two-column table with points that can be compared (not two separate definitions).

Topic map: where each chapter appeared

Chapter	2025	2024
1 Labour market & wages	Q1a(i,viii,x,xvii),b(i),c(ii,iv),e(i),Q2a,Q3b,Q4b,Q5a,Q6c	Q1a(i,viii,ix,xvii),c(ii),Q2a,Q4b,Q5a,c,Q6c
2 Factor income	Q1a(ii,xi),b(v),c(i),e(ii),Q5b,Q7a,d	Q1a(ii,x,xviii),b(i),c(iv),Q1e(ii),Q3b,Q5b,Q7c,d
3 Economy of Bhutan	Q1a(iii,v,ix,xiii),d(i),e(iii)	Q1a(iv,xi,xiii,xix),Q1e(iii),Q2b,c,Q3c,d,Q7b
4 Public finance	Q1a(iv,xii),b(iii),d(ii,iv),e(iv,v),Q3a,Q4c,Q7b	Q1a(iii,xii),b(iii),d(iv,v),e(iv,vi),Q3a,Q4c
5 Growth & development	Q1a(xx),Q2c,Q5c,d,Q7c	Q1a(v,xx),b(v),c(i),Q1e(v),Q5d
6 Measurement & GNH	Q1a(vi,xiv,xviii,xix),b(iv),e(vii),Q2b,Q3d,Q6d	Q1a(vi,xiv),b(iv),Q1e(i,vii),Q6a,d
7 Balance of payments	Q1a(vii,xv),Q2d,Q4d,Q6a	Q1a(xv),Q2d,Q4d,Q7a
8 Trade policy & cooperation	Q1a(xvi),b(ii),c(iii,v),d(iii,v),e(vi,viii),Q3c,Q4a,Q6b	Q1a(vii,xvi),b(ii),c(iii),d(ii,iii),Q1e(viii),Q4a,Q6b

Repeated every year: equilibrium wage with excess supply / excess demand • shift of D or S and the new E • MP and MRP table (hire while MRP ≥ wage) • saving vs hoarding and ways to improve saving • direct vs indirect tax, current vs capital expenditure, purpose of a budget • GDP vs GNP, growth vs development • four pillars and nine domains of GNH • balance of trade deficit and measures • exchange-rate sum • SAARC / BIMSTEC / WTO and free trade vs protectionism • a bar / line / pie graph from a table.

1 · LABOUR MARKET EQUILIBRIUM & WAGE DETERMINATION

P25 Q1a(i,viii,x,xvii),b(i),c(ii,iv),e(i),Q2a,Q3b,Q4b,Q5a,Q6c · P24 Q1a(i,viii,ix,xvii),c(ii),Q2a,Q4b,Q5a,c,Q6c

Labour and its types

- **Labour** = effort of any kind (manual or mental, skilled or unskilled) put in by human beings in the production of goods and services to earn income P25 Q1b(i): labour. The service is labour; the person is the **labourer** (a doctor is a labourer; treating a patient is labour).
- **Wage** = payment by an employer to a worker for the services in production; an **expense** for the employer and an **income** for the worker; in cash or kind.

Type	Meaning	Examples
Un-skilled	no training or professional skill	farmer in a field, sweeper, porter, herder
Semi-skilled	some training and experience	goldsmith, weaver, mason
Skilled	special training and experience	carpenter, electrician, plumber, hairdresser, barber, mechanic P25 Q1c(iv): b
Professional	advanced study and special training	doctor, teacher, architect, pilot, lawyer, accountant, software developer P25 Q1c(ii): a P24 Q2a

- **Dignity of labour:** all jobs, manual or intellectual, are respectable and equally important; none is superior or inferior. Treating manual workers as inferior violates it P25 Q1a(xvii): A.

Demand for labour

Demand for labour = number of workers an employer is willing and able to hire at a given wage rate in a given period.

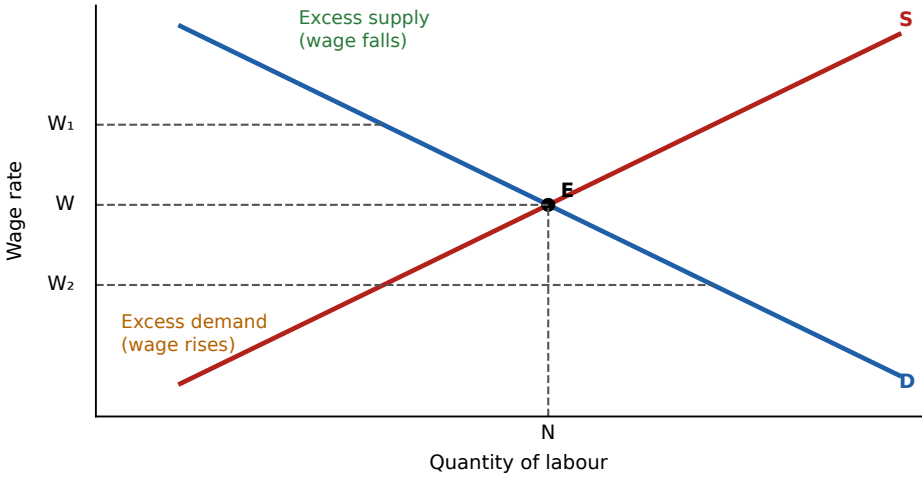
- **Wage rate:** inverse relation — wage falls, demand rises; wage rises, demand falls (downward-sloping curve). Table: Nu 600 → 1 worker, 500 → 2, 400 → 3, 300 → 4, 200 → 5.
- **Demand for goods and services:** labour is wanted for the goods it makes, so it is a **derived demand** (demand that arises from the demand for other products) P24 Q1c(ii): e. A boom (more demand for goods) → firms expand → hire more labour P24 Q1a(viii) P24 Q5a.
- **Productivity of labour:** more productive (trained, skilled) workers contribute more, so demand rises; training, seminars and workshops raise productivity P25 Q5a.
- **MRP:** Marginal Product (MP) = extra output from one more worker = change in total production. **MRP = MP × MR** (price of one unit). A profit-maximising firm hires up to the point where **MRP = wage** (hire while MRP ≥ wage) P24 Q1a(xvii): D.

Supply of labour

Supply of labour = number of people willing and able to work at the prevailing wage in a given period.

- **Wage rate:** positive relation — higher wage, more workers supplied (Nu 500 → 1, 600 → 2, 700 → 3, 800 → 4, 900 → 5).
- **Facilities and working environment:** good conditions, friendly colleagues, good management attract workers (supply rises); poor conditions make workers leave P24 Q1a(i): C P25 Q1a(viii): C.
- **Other (for answers):** qualifications and training needed, working hours, job security, benefits, population size, migration.

Wage determination: E = equilibrium



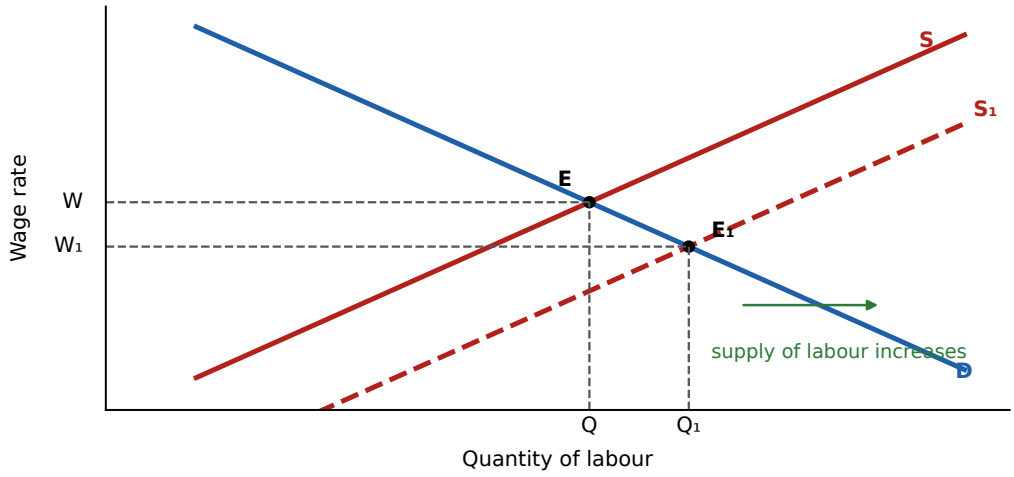
Wage determination (textbook Fig 1.5): equilibrium E where quantity demanded = quantity supplied.

Equilibrium wage rate

- **Equilibrium** is where the D and S curves meet: the **equilibrium wage rate (OW)** and **equilibrium quantity (ON)**; quantity demanded = quantity supplied P25 Q1a(i): A.
- Above E (wage W_1): **excess supply** of labour (unemployment) → wage **falls**. Below E (wage W_2): **excess demand** (shortage) → wage **rises**.

Change	Curve	New wage	New quantity
demand for goods ↑, productivity ↑, MRP ↑	D shifts right	rises	rises
demand for goods ↓	D shifts left	falls	falls
better facilities, more people willing to work	S shifts right	falls	rises
workers leave / poor conditions	S shifts left	rises	falls

2025 Q1(x): S shifts right to S₁



2025 Q1(x): S shifts to S₁, so the wage falls from W to W₁ and the quantity rises from Q to Q₁.

Solved questions — Section A

P25 Q1a(i), (viii), (x), (xvii) [1 each] i: equilibrium wage = demand for labour equals supply → **A**. viii: if workers leave for better benefits, the restaurant must make itself attractive again: **C (increase the wage and improve facilities)**. x: the dotted S_1 is to the **right** of S, so supply increased; better facilities raise supply (training and productivity raise *demand*) → **B (check)**. xvii: owner who treats manual workers as inferior breaks the **dignity of labour (A)**.

P24 Q1a(i), (viii), (ix), (xvii) [1 each] i: enhanced workplace and amenities raise supply → **C**. viii: demand for goods rises from 100 to 200 with supply unchanged → derived demand for labour rises → **B (the wage rate increases)**. ix: the footballer uses physical ability and tactical knowledge → **D (skilled and manual)** **(check)**. xvii: hire the extra worker when **MRP ≥ wage (D)**.

P25 Q1b(i), Q1c(ii), (iv) [1 each] b(i) **labour**. c(ii) lawyers, accountants, software developers → **a (professional labour)**. c(iv) hairdressers, barbers, mechanics → **b (skilled labour)**.

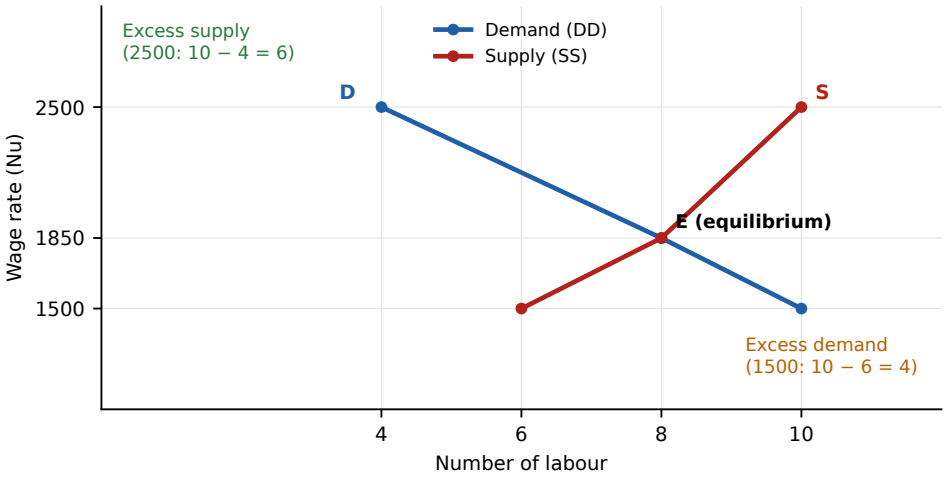
Solved questions — Section B and short answers

P25 Q1e(i) [2] Does a higher wage always raise the supply of labour? **No, not always.** (1) Workers also look at **facilities and the working environment**: a high wage with bad conditions or hostile colleagues may not attract workers. (2) Supply is limited by **skills and qualifications** required and by the number of people available, so more workers cannot appear at once (some prefer leisure at high wages).

P24 Q2a [2] Professional labour is **labour that needs advanced study and special training** [1]. Example: **a doctor treating a patient / an architect / a pilot** [1].

P25 Q4b [3] — labour schedule (i) At Nu 1500 demand (10) > supply (6): **A = Increase** (excess demand pushes the wage up). At Nu 2500 supply (10) > demand (4): **B = Excess supply**. [1] (ii) Draw X-axis "number of labour", Y-axis "wage rate (Nu)"; join the demand points (10, 1500), (8, 1850), (4, 2500) → **downward-sloping D**; join the supply points (6, 1500), (8, 1850), (10, 2500) → **upward-sloping S**; they cross at **E (8 workers, Nu 1850)**. [2]

2025 Q4(b): labour market from the schedule



2025 Q4(b): demand and supply drawn from the schedule.

P25 Q5a [2] Higher productivity makes each worker produce more, so the worker's **marginal revenue product rises** and the firm is willing to hire more: **demand for labour increases** [1]. Skilled, efficient workers are in higher demand; low productivity lowers demand [1].

P24 Q5a [2] There is an **inverse relationship**: when the wage rate rises, firms hire fewer workers (demand falls); when the wage falls they hire more [1]. Reason: a firm hires only while MRP ≥ wage; with a higher wage fewer workers are worth hiring, giving a downward-sloping demand curve [1]. (Use the schedule: Nu 600 → 1 worker, Nu 200 → 5 workers.)

P24 Q4b [3] — MP and MRP Production 10, 22, 33, 42, 50; price Nu 450. **A** = MP of 1st worker = 10 − 0 = **10** (10 × 450 = 4500 ✓). **B** = MRP = 11 × 450 = **Nu 4,950**. **C** = MP = 42 − 33 = **9**. **D** = 8 × 450 = **Nu 3,600**. [2] (ii) Hire while MRP ≥ wage 4000: 4th worker MRP 4050 ≥ 4000 ✓; 5th worker MRP 3600 < 4000 ✗ → **maximum 4 workers**, because a firm should not pay a worker more than the worker adds to revenue. [1]

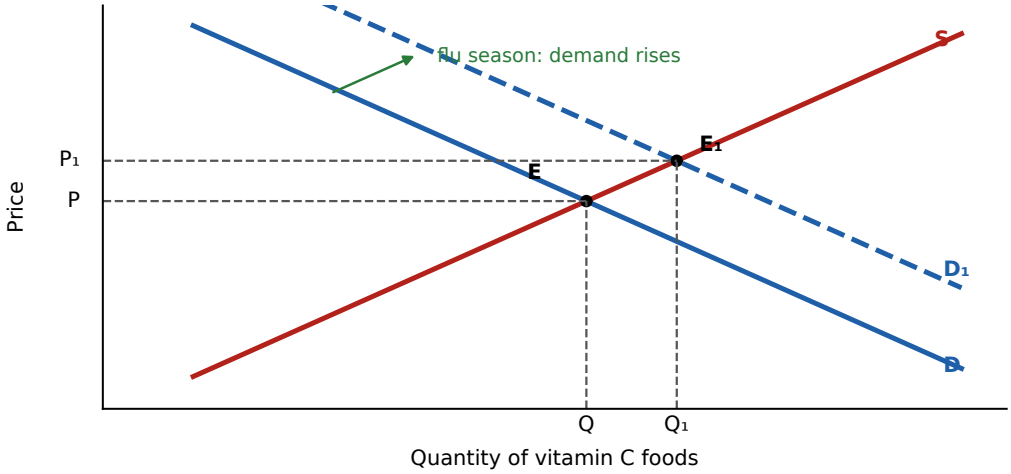
P24 Q5c [2] Youth unemployment rose from 20.9% to 28.6%. Yes, partly a **skills mismatch**: (1) many graduates have **qualifications that do not match the skills employers need**, so vacancies stay unfilled while youth stay jobless; (2) youth prefer **white-collar/government jobs** and avoid manual or technical work, while the available jobs are in these areas. (Other causes: too few jobs, COVID-19.)

P25 Q6c [2] Investment in **health** gives healthy workers who are absent less, have more energy and live longer; investment in **education and training** gives knowledge and skills. Both make each worker **produce more per hour** (labour productivity), raise the MRP, wages and national income [1 + 1].

P24 Q6c [2] Labour in economics is effort put in to produce goods and services **for payment or income** [1]. A mother caring for her baby at home is **unpaid, not sold in the market and not counted in national income**, so she is not treated as labour — although the work is valuable to the family and society [1].

P25 Q2a [2] Two factors affecting the supply of labour: (1) the **wage rate** — a higher wage attracts more workers (positive relation); (2) **facilities and the working environment** — good conditions, friendly colleagues and management increase supply.

2025 Q3(b): D shifts right → price and quantity both rise



2025 Q3(b): market for vitamin C foods — demand rises in the flu season.

P25 Q3b [3] — price diagram In the flu season more people want vitamin C foods, so **demand increases** and the demand curve shifts to the right from D to D_1 (supply S unchanged) [1]. The new equilibrium E_1 lies above and to the right of E: the **equilibrium price rises (P to P_1) and the equilibrium quantity rises (Q to Q_1)** [1]. Draw both axes (price, quantity), curves D, D_1, S, points E and E_1 with dotted lines [1].

Quick: labour — wage — derived demand — MRP = MP × price — hire while MRP ≥ wage — equilibrium — excess supply (wage falls) / excess demand (wage rises) — S shift right: wage ↓, quantity ↑.

2 · FACTOR INCOME: RENT, SAVING, INTEREST & PROFIT

P25 Q1a(ii,xi),b(v),c(i),e(ii),Q5b,Q7a,d · P24 Q1a(ii,x,xviii),b(i),c(iv),Q1e(ii),Q3b,Q5b,Q7c,d

Factors of production and their rewards

Factor	Reward (factor income)
Land	**Rent**
Labour	**Wage**
Capital	**Interest**
Entrepreneur	**Profit** (reward for taking risk) P24 Q1b(i): profit

Households provide the factors; firms pay these incomes. **All factor incomes together = national income** P24 Q1b(v).

Rent

- **Rent**: payment for hiring durable goods (house, land, car, furniture). In economics it extends to every factor with an **inelastic (nearly fixed) supply** — supply that stays the same despite a change in price P24 Q1c(iv): b.
- **Factors affecting rent:** (a) **demand and supply** of the property (more demand than supply → rent rises); (b) **location** (near school, hospital, town, road, market); (c) **facilities** (furnished, modern amenities, safety, age and type of building, cost of construction).

Investment and saving

- **Investment** = creation of new capital goods (machinery, buildings, factories); also purchase of shares and bonds; spending on education and health is investment in **human capital**.
- **Saving** = income not spent on current consumption = **disposable income − consumption expenditure**. Higher income and higher interest rate → more saving.
- **Why save: financial security** (old age, unemployment, disability); **contingencies** (sickness, death, loss of property); **future investment** (business, education, house); **interest** (reward; propensity to save rises with the rate).
- **Hoarding** = unspent income that earns **no interest** (cash in a locker or wallet); **saving** = unspent income that **earns interest** (bank deposit).
- **Too much saving** reduces demand → lower profit → less production, closures and unemployment ("Know more" in the textbook).

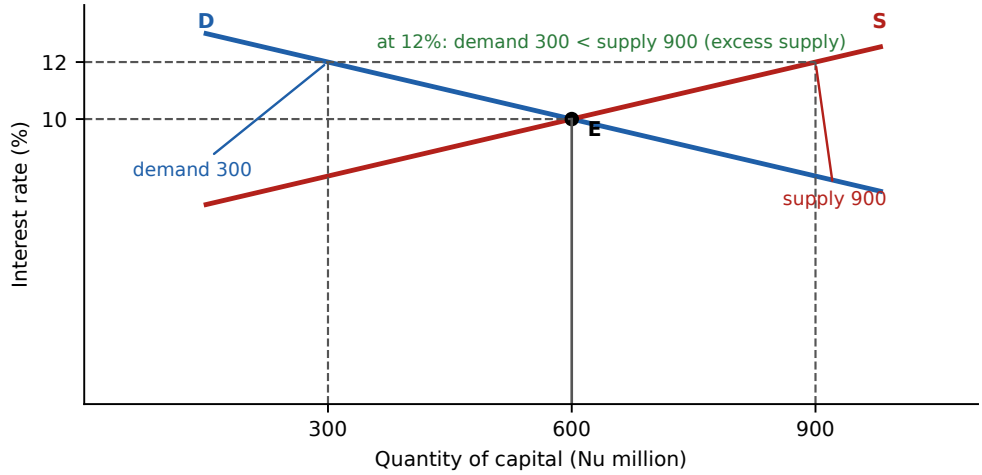
Account	Features
Savings deposit	no fixed term, withdraw any time, small interest; promotes thrift
Current deposit	firms, government, business; no limit on withdrawal; **no interest**; overdraft facility
Fixed deposit	lump sum for a fixed period; **highest interest**; longer period, higher rate
Recurring deposit	regular instalments for a period; interest higher than savings, lower than fixed

Schemes in Bhutan: **Piggy Bank** (BNB) and **Child Money Back Policy** (RICBL) encourage **saving** habits P25 Q1b(v): saving. Minor's savings account for under 18.

Interest

- **Gross interest** = whole payment to the lender. **Net (pure) interest** = gross interest − (expenses on risk + expenses on management).
- **Why borrowers pay interest:** (i) lender gives up (abstains from) current consumption; (ii) risk that the borrower may not repay; (iii) money loses value over time (prices rise).
- **Simple interest** SI = $\frac{P \times R \times T}{100}$ (on the principal only). **Compound interest**: A = $P(1 + \frac{R}{100})^n$, CI = A − P ("interest on interest"). Nu 1000 at 10%: SI = 100, 200, 300; CI = 100, 210, 331 (years 1, 2, 3).
- **Determination of interest:** demand for capital (investment, inverse to the rate) meets supply of capital (saving, direct to the rate). Rate rises above equilibrium → excess supply → rate falls; rate falls below → excess demand → rate rises.
- Lower interest on **borrowing** → more investment; higher interest on **deposits** → more saving P25 Q1c(i): d.

2024 Q1(ii): demand for capital falls from 600 to 300 (Nu million)



Equilibrium interest rate (2024 Q1(ii)): at 12% demand for capital is Nu 300 million, but at 10% it was Nu 600 million.

Profit

- **Profit = Total revenue − Total cost** (revenue = quantity × price). It is the main motive of business and moves resources to goods in higher demand (e.g. more tourists → more tourism businesses).
- But profit should **not be the only motive**: business ethics (honesty, trust, responsibility, reliability, paying tax, not selling expired goods, giving back change) and **social responsibility** P24 Q1a(xviii): C.

Solved questions — Section A

P25 Q1a(ii), (xi) [1 each] ii: SI = $\frac{50\,000 \times 5 \times 2}{100}$ = **Nu 5,000 (C)**. xi: mangoes sold = 45 + 54 + 39 = 138 kg; revenue = 138 × 120 = Nu 16,560; profit = 16,560 − 9,500 = **Nu 7,060 (C)**.

P24 Q1a(ii), (x), (xviii) [1 each] ii: from the diagram, demand for capital is Nu 600 million at 10% and **Nu 300 million at 12% → decreased by Nu 300 million (A)**. x: expenses = 15,000 + 2,500 + 1,000 + 2,500 = 21,000; saving = 52,000 − 21,000 = **Nu 31,000 (D)**. xviii: **a firm investing in environment-friendly products (C)** is meeting social responsibility; the others serve profit only or harm society.

P25 Q1b(v), Q1c(i) / P24 Q1b(i) P25 b(v): **saving**. c(i): when the interest rate on borrowing decreases, **investment (d)** increases. P24 b(i): the reward for risk is **profit**.

Solved questions — short answers and Section B

P25 Q1e(ii) [2] Can a ceiling on rent help housing problems? **Yes, to some extent.** (1) It keeps houses **affordable** for low- and middle-income families and stops landlords charging unfairly high rent in towns like Thimphu. (2) It protects tenants from sudden rent rises, giving security. (But a ceiling that is too low discourages owners from building or maintaining houses, so supply must also grow.)

P24 Q1e(ii) [2] Is buying a house wise for a retired civil servant who rents in Thimphu? **Yes, if he can afford it.** (1) Rent keeps rising and buys no asset; a house is an **asset that keeps its value and gives security** and stops future rent payments. (2) Rent is a recurring cost on a fixed pension, so owning reduces monthly expenses. (Caution: it needs a large sum or loan, interest and upkeep, so he should not use up all his savings.)

P25 Q5b [3] If borrowers do not repay: (1) **banks' funds and profit fall** and non-performing loans rise, so they can lend less; (2) banks raise interest rates and become strict, so **investment by businesses falls** and capital formation slows; (3) **business closures, job losses** and slow economic growth; some banks may even fail. [3 × 1]

P25 Q7a [2] Ways to improve saving habits: (1) **awareness and financial-literacy programmes** in schools and communities on the benefits of saving; (2) **attractive schemes and higher interest** on deposits (Piggy Bank, Child Money Back, recurring deposits) and easy banking services (mobile banking, rural branches); (also: setting saving goals, reducing wasteful spending). [2 × 1]

P25 Q7d [2] Should a business person aim at profit only? **No.** (1) **Business ethics and social responsibility**: honesty in weights, prices and expiry dates, paying taxes; cheating customers harms trust and the business in the long run. (2) The business must respect **national, social and cultural values**, the environment and GNH; profit with harm to society is not sustainable. [2]

P24 Q3b [3] — loan instalment P = Nu 500,000; R = 9% compounded annually; T = 5 years. $A = P(1 + R/100)^n = 500\,000 \times (1.09)^5 = 500\,000 \times 1.53862 =$ **Nu 769,312** [2]. Monthly instalment = 769 312 ÷ (5 × 12 = 60) = **≈ Nu 12,822** [1]. **(check)** A bank using the reducing-balance (EMI) method would charge about Nu 10,379 a month; use the textbook method above unless your teacher says otherwise.

P24 Q5b [3] Why people save: (1) **financial security** — for old age, loss of job or disability; (2) **contingencies** — sickness, accident, death or loss of property; (3) **future investment** — to start a business, build a house or pay for education; (also to **earn interest**). Explain each in one line. [3 × 1]

P24 Q7c [3] Creative ways to raise saving: (1) **school and community saving clubs** with piggy banks and rewards for the top savers; (2) **mobile-banking "auto-save"** (a fixed part of salary moved to a deposit) and gifts/lucky draws for savers; (3) **new schemes** such as child money-back or recurring deposits for festivals, with higher interest for longer saving, plus financial education through media and school. [3]

P24 Q7d [2] Is hoarding of any benefit? **Only limited benefits:** (1) cash at home is **ready for emergencies** (illness, disasters) when a bank is far away or closed, and is safe if a bank fails; (2) gold, jewellery and stored grain keep their value and can be pledged or sold in hard times. But hoarded money earns **no interest** and is not available for investment, so saving in a bank is better for the economy. [2]

Quick: SI = PRT/100 • $A = P(1 + R/100)^n$ • profit = TR − TC • saving = income − consumption • hoarding earns no interest.

3 · THE ECONOMY OF BHUTAN

P25 Q1a(iii,v,ix,xiii),d(i),e(iii) · P24 Q1a(iv,xi,xiii,xix),Q1e(iii),Q2b,c,Q3c,d,Q7b

Features of the Bhutanese economy

- **Mixed economy:** public and private sectors exist together. The private sector cannot work alone: the government frames policies and provides public goods.
- **Per capita income** (GDP per capita) has been **rising** (about US$ 2,585 in 2013 to 3,173 in 2018 in the textbook) — a sign of growth.
- **Capital formation** (creation of capital goods) has **increased** over the years, mainly through construction, machinery and equipment.
- **Sectors:** primary (agriculture, forestry), secondary (industry, hydropower, construction), tertiary (services, tourism). The **tertiary sector is the largest contributor** to GDP; the primary sector contributes the least (about 15%).
- **Population:** small, 727,145 (PHCB 2017); growth about 1.3% a year; the 65-and-above group is small (43,064). **Challenges:** growing youth unemployment, dependence on aid and imports, dependence on hydropower and tourism.
- The shift from the primary to manufacturing and service sectors shows a transition from a traditional to a modern economy.

Economic diversification

Shifting from a **single source of income to several sources** in more sectors and markets. It reduces dependence and risk, raises productivity and cuts unemployment. Bhutan relies on a few sectors (**hydropower, tourism**), so **Cottage and Small Industries (CSI)** are a key area. Supporting steps: tax incentives for start-ups, easy credit, training P24 Q1a(xiii): B. Benefit: **economic stability and better job opportunities in the long run** (not an immediate effect) P25 Q1a(ix): D.

Public and private sectors

Public sector (owned by government)	Private sector ("engine of growth")
provides **public goods and services** (roads, schools, hospitals) P25 Q1d(i): TRUE; **reduces regional disparities**; **self-reliance**; earns **foreign exchange**; ensures equal distribution of income and reduces poverty P24 Q1a(iv): A	creates **jobs**; pays **taxes** (government revenue); builds **infrastructure**; runs activities that are profitable and need less investment; motive: **profit**

Consumption, saving and investment

- **Income = Consumption + Saving.** More consumption → less saving; less consumption → more saving; if all income is consumed, saving is zero. Without saving there is no investment; investment is higher when savings are enough P24 Q1a(xi): A **(check)**.
- A balance between consumption and saving is needed: **too much saving** (with investment constant) lowers demand and economic activity P25 Q1a(xiii): B.
- **Ways to raise saving and investment:** (a) set **saving goals**; (b) **advocacy and awareness programmes**; (c) **interest rate** — high on savings, low on borrowing P24 Q1a(xix): D; (d) **different saving schemes** for different motives.

Solved questions — Section A

P25 Q1a(iii), (v), (ix), (xiii) [1 each] iii: features that **boost** the economy — I (per capita income up), II (capital formation up), IV (sector contribution up); a larger old-age group (III) does not boost growth → **B (I, II and IV)**. v: total GDP = 33,422.58 + 72,501.36 + 121,889.78 = 227,813.72; tertiary share = $\frac{121\,889.78}{227\,813.72} \times 100$ = **53.5% (B)**. ix: diversification gives **stability and better employment in the long run (D)**. xiii: savings rise but investment stays the same, so money is not turned into capital and demand falls → **decrease in economic activities (B)**.

P24 Q1a(iv), (xi), (xiii), (xix) [1 each] iv: roles of the **public** sector — reduce regional disparities (I), equal distribution of income (II), reduce poverty (IV); maximising profit (III) belongs to the private sector → **A**. xi: consumption falls → saving rises → more funds for investment → **A (check)**. xiii: to diversify, give **tax incentives for start-ups (B)**. xix: to raise capital formation charge **low interest on borrowing and high interest on saving (D)**.

P25 Q1d(i) [1] TRUE — in Bhutan social goods (roads, education, health) are provided by the public sector.

Solved questions — short answers and Section B

P25 Q1e(iii) [2] Strategies for private sector development: (1) **easy access to credit at low interest** and **tax incentives** for new businesses; (2) **simplify licensing and rules**, build roads, power and internet, and **train skilled workers** / link producers to markets. [2 × 1]

P24 Q1e(iii) [2] Primary sector growth is −1.15% (lowest). Measures: (1) **modern farming methods**: irrigation, improved seeds, machines, and training for farmers; (2) **market access and value addition**: farm roads, cold storage, agro-processing and fair prices; (also reduce wildlife damage). [2]

P24 Q2b [3] Why the private sector contributes little: (1) **small domestic market** and a small population limit demand; (2) **shortage of capital and credit**, with high interest and collateral demands; (3) **high cost of doing business**: difficult terrain, poor transport, import dependence and a shortage of skilled labour; (also the government/public sector dominates and the private sector is risk-averse). [3 × 1]

P24 Q2c [2] Improving the business environment: (1) **simplify procedures** (one-stop, online licences, fewer permits) and enforce contracts fairly, with less corruption; (2) **give access to finance, infrastructure and skilled labour** and offer **tax incentives** to start-ups and exporters. [2]

P24 Q3c [3] Are Bhutan's trade policies favourable for the private sector? **Largely yes, with limits.** (1) **Duty-free trade with India** and membership of **SAFTA/BIMSTEC** give a large market and cheap raw material; (2) **incentives and an open FDI/export policy** for exporters help firms; (3) But dependence on India, high transport costs (landlocked) and import-dependence make local firms struggle to compete; so policies need more support. [3 × 1]

P24 Q3d [2] Nu 10,000 a month for every third child until age three: (1) **raises the birth rate** and helps the population and the future labour force grow (support for ageing and small population); (2) **reduces the financial burden** on families, so children get better food, health care and early education, giving a healthier workforce. [2]

P24 Q7b [3] Social benefits of a highway linking rural areas to towns: (1) **easy access to hospitals, schools and services** for rural people (emergency patients reach in time); (2) **farm products reach markets**, raising rural income and **reducing regional disparity** and rural–urban migration; (3) **jobs** during construction and later in tourism and trade; more social and cultural contact. [3]

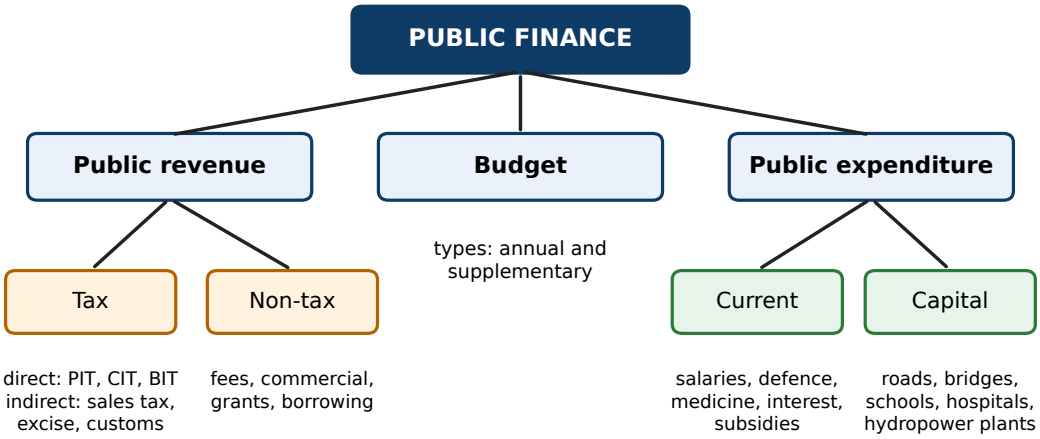
Quick: mixed economy • tertiary sector largest • diversify (hydropower, tourism → CSI) • public sector = public goods, private = profit and jobs • Y = C + S.

4 · PUBLIC FINANCE

P25 Q1a(iv,xii),b(iii),d(ii,iv),e(iv,v),Q3a,Q4c,Q7b · P24 Q1a(iii,xii),b(iii),d(iv,v),e(iv,vi),Q3a,Q4c

Meaning and components

Public finance = the income (revenue) and expenditure of the government at all levels (central, district, local). Its three components are **budget, public revenue and public expenditure** P24 Q1d(iv): TRUE.



Components of public finance (textbook Fig 4.1).

Public revenue

	Direct tax	Indirect tax
Imposed on	**income and wealth** of the taxpayer P25 Q1a(iv): D	**goods and services**
Burden	borne by the **same person** (cannot be shifted)	paid first by the seller but **shifted to the consumer**
Examples	Personal Income Tax (PIT), Business Income Tax (BIT), Corporate Income Tax (CIT), land tax, cattle tax, property tax	Sales tax, excise duty, import and export (custom) duty, entertainment tax P24 Q1a(iii): D

- **Tax** = compulsory payment to the government by people, firms and corporations for development and social welfare P25 Q1d(iv): TRUE. Corporate employee, wholesale owner and doctor all pay tax on **income → direct** tax P25 Q1b(iii): direct.
- **Non-tax revenue:** administrative fees and charges (birth registration, land transaction, vehicle registration, court fees); revenue from government departments (electricity, public transport, water); **grants** (voluntary, for a specific purpose); **borrowing** (internal and external) to fill the gap between planned expenditure and revenue.
- Grants help infrastructure but **cannot solve all challenges** P25 Q1a(xii): C. **Excessive borrowing** raises **interest payments** P24 Q1a(xii): D.
- **Benefits of paying tax:** funds roads, free education and health; narrows the gap between rich and poor; reduces dependence on aid (Denmark: high tax, narrow wealth gap, high trust).

Public expenditure

Current expenditure	Capital expenditure
regular running of government within a year: **salaries of civil servants, interest payments, subsidies, medicines**, defence, road maintenance P24 Q1b(iii): current	creation of **capital assets**: roads, bridges, airports, school buildings, dzongs, equipment, hydropower plants

Aims: reduce regional disparities, build infrastructure, develop human resources, give social security, promote the private sector.

Budget

- **Budget** = annual financial statement of estimated revenue and proposed expenditure for a year. **Supplementary budget** = extra budget for **unforeseen situations** (natural disasters, extra activities, inflation) — not for planned development activities P24 Q1d(v): FALSE. A high supplementary budget may show poor planning.
- **Importance:** (i) proper planning and allocation of resources by priority; (ii) a framework for implementing, monitoring and evaluating programmes (sound financial management); (iii) shows the financial status and gives **transparency and accountability**.

Solved questions — Section A

P25 Q1a(iv), (xii) / P24 Q1a(iii), (xii) [1 each] P25 iv: direct tax is levied on **income and wealth → D**. P25 xii: grants help but **do not address all economic challenges (C)**. P24 iii: land, cattle and income tax are direct; **custom duty (D)** is indirect. P24 xii: **increased interest payments (D)**.

P25 Q1d(ii), (iv) / P24 Q1b(iii), Q1d(iv), (v) P25 d(ii) **TRUE** (deficit = expenditure > revenue, covered by borrowing); d(iv) **TRUE**. P24 b(iii) interest, subsidies and salaries are **current** expenditure; d(iv) **TRUE**; d(v) **FALSE** — a supplementary budget is for unforeseen needs, not planned development.

Solved questions — short answers and Section B

P24 Q1e(iv) [2] Sort: **Taxes: excise duty, corporate income tax**; **Non-taxes: borrowing, commercial revenue** (1 mark for each correct pair).

P25 Q1e(iv) [2] Will borrowing reduce regional disparities? **Yes, if it is spent on the right things.** (1) Loans used for **roads, schools, hospitals and electricity in less developed areas** improve services and growth there; (2) the projects **create jobs and markets** in lagging regions. (But borrowing must be repaid with interest and may increase debt, so it should not be spent on consumption.)

P25 Q1e(v) [2] Is raising taxes a practical way to stimulate the economy? **Not really.** (1) Higher taxes **reduce disposable income**, so households spend and save less, and **demand falls**; (2) they **discourage investment and business** as profits fall. A better way is more public spending, lower interest and widening the tax base. (It does raise revenue for the government.)

P24 Q1e(vi) [2] Efficient use of resources at school: (1) **save electricity and water** (switch off fans and lights, close taps) and **reduce paper** (use both sides, reuse); (2) **avoid food waste, reuse and recycle**, look after furniture and books, and share stationery. [2]

P25 Q3a / P24 Q3a [2] Importance of a budget: (1) it **plans and allocates resources** according to social and economic priorities [1]; (2) it is a **framework to implement, monitor and evaluate** programmes and gives **transparency and accountability**; it shows the financial status of the government [1].

P25 Q4c [2] Can a higher property tax reduce income inequality? **Yes, I agree.** (1) It is **progressive**: those who own more property (the rich) pay more, and the money is used for **education, health and rural development** that help the poor; (2) it discourages **hoarding of land and speculation**, so housing and land become easier to get. [2]

P24 Q4c [2] Property tax by value (Property Tax Act 2023): **beneficial.** (1) **More revenue** for the government without burdening the poor, and a fairer sharing of tax (those who own more pay more); (2) it **reduces income and wealth inequality** and discourages keeping land idle. [2]

P25 Q7b [3] Revenue Nu 52,626.582 m; expenditure Nu 69,156.613 m: a **deficit of Nu 16,530.031 million** (expenditure − revenue). Recommend increasing **tax revenue** (regular, domestic, no repayment). Measures: (1) **widen the tax base** — bring informal businesses and more earners into the tax net; (2) **improve collection and stop evasion** with online filing, audits and penalties; (3) **review tax rates** — e.g. a progressive property tax and higher tax on luxury goods. (Non-tax: raise fees and commercial income, e.g. electricity tariff, tourism fees.) [3 × 1]

Quick: PIT/BIT/CIT = direct; sales tax, excise, customs = indirect • current = salaries, interest, subsidies; capital = roads, bridges • supplementary budget = unforeseen.

5 · ECONOMIC GROWTH & DEVELOPMENT

P25 Q1a(xx),Q2c,Q5c,d,Q7c · P24 Q1a(v,xx),b(v),c(i),Q1e(v),Q5d

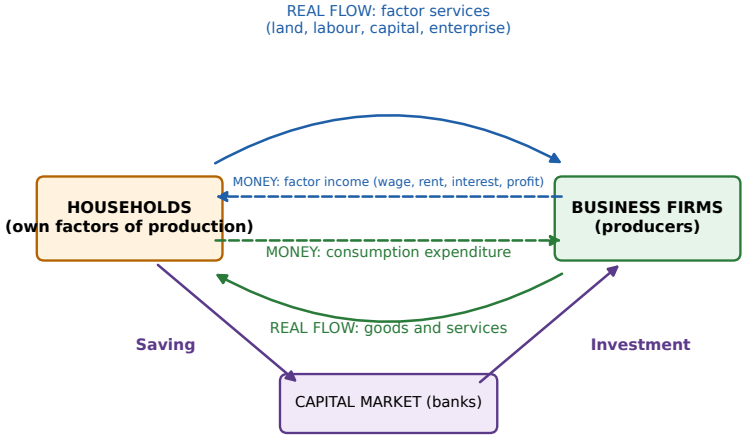
Goods and services

Pair	Meaning
Goods / services	goods are tangible (clothes, books); services are intangible (haircut, medical check-up)
Economic goods / non-economic	economic: from scarce resources, have a price; non-economic: free gifts of nature, unlimited, no price (air) P24 Q1a(v)
Intermediate / final goods	intermediate (semi-finished) are processed further (flour for bread); final goods are bought by consumers or producers (as investment)
Public goods / private goods	public: provided by the government, **non-excludable** (cannot stop anyone) and **non-rival** (one person's use does not reduce another's) P24 Q1a(v): C; private: owned by individuals, must be bought

Circular flow of income

- Shows the flow of payments and receipts between sectors: households, business firms, government and the rest of the world. **Two-sector model:** households sell factor services and receive factor income (wage, rent, interest, profit = **national income**); they spend it on goods and services (**consumption expenditure**).
- **Real flow** = factor services and goods and services; **money flow** = payments and receipts (wages, expenditure). Households providing labour to a firm is a **real flow** P24 Q1a(xx): D; paying wages or buying groceries are money flows.
- With a capital market: **saving** flows from households to the capital market and **investment** flows to firms. **Equilibrium when saving = investment**; if saving > investment, demand and economic activity fall.

Circular flow of income: two-sector model with saving and investment



Two-sector circular flow with saving and investment (textbook Fig 5.1, 5.2).

Domestic product vs national product

	GDP (domestic)	GNP (national)
Meaning	value of all **final goods and services produced within the boundary** of a country in a year	value of final goods and services produced **by the citizens**, at home **or abroad**; = national income
Who	citizens **and foreigners** working inside the country	only **nationals**, wherever they work
Relation	GNP = GDP + net factor income from abroad	

GDP per capita = national income ÷ total population (average income of a person). Growth is measured by the rate of GDP P25 Q1a(xx): D; per capita income P24 Q1c(i): d.

Economic growth vs development

	Economic growth	Economic development
Meaning	increase in GDP / per capita income (short run: rate of GDP; long run: sustained rise in per capita income with structural change)	wider change: better **quality of life**, education, health, employment, shelter, **sustainable use of natural resources**
Scope	one indicator (income)	many indicators (literacy, life expectancy, poverty)
Nature	ignores pollution, depletion and equity	concerned with the environment and equity

- **Growth is necessary but not sufficient:** growth can occur without development, but development needs growth; growth is a subset of development.
- **Kuznets' five features of modern growth:** rising saving and investment; structural transformation; rising factor productivity; rising per capita income; use of modern science and technology.

Solved questions — Section A

P25 Q1a(xx) / P24 Q1a(v), (xx) [1 each] P25 xx: the common tool for economic growth is the **rate of GDP (D)**. P24 v: public goods are consumed without reducing others' use → **non-rival (C)**. P24 xx: real flow means factor services and goods moving between sectors → **households providing labour to a firm (D)**.

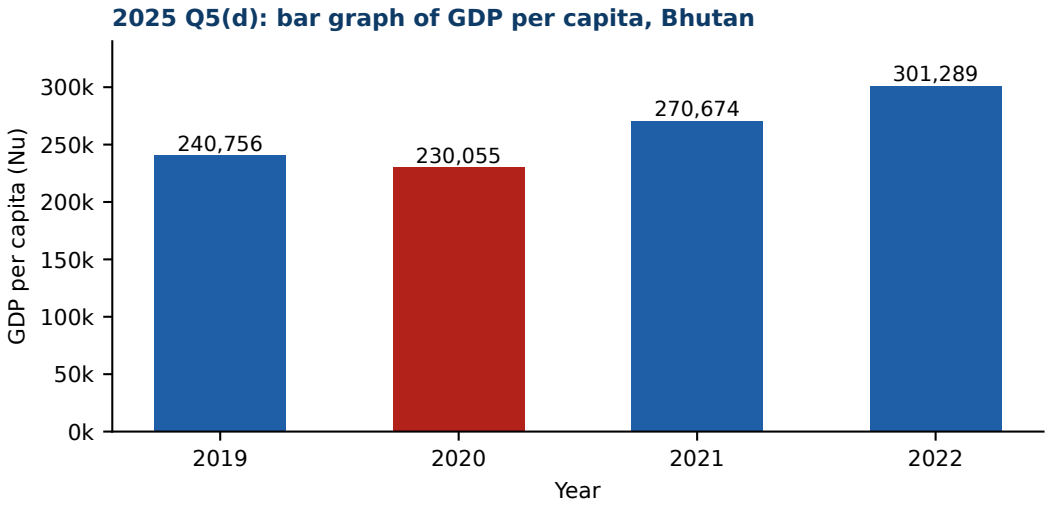
P24 Q1b(v), Q1c(i) b(v): the sum of factor incomes received by households is **national** income. c(i): average income earned by citizens → **d (per capita income)**.

Solved questions — short answers and Section B

P24 Q1e(v) [2] Can economic growth guarantee development? **No.** (1) Growth only means a rise in GDP or income; it does not show **how income is shared** (inequality can rise) or the state of health, education and happiness; (2) growth may harm **the environment** (pollution, depletion) so quality of life can fall. Growth is necessary, but development also needs equity and sustainability.

P25 Q2c [2] Rapid growth with sustainable development: (1) use **clean and renewable energy** (hydropower, solar) and **green technology**, with environmental impact assessment for projects; (2) **conserve the environment** — keep 60% forest cover, recycle and use resources efficiently — and follow the **GNH** approach of balancing material and non-material wellbeing. [2]

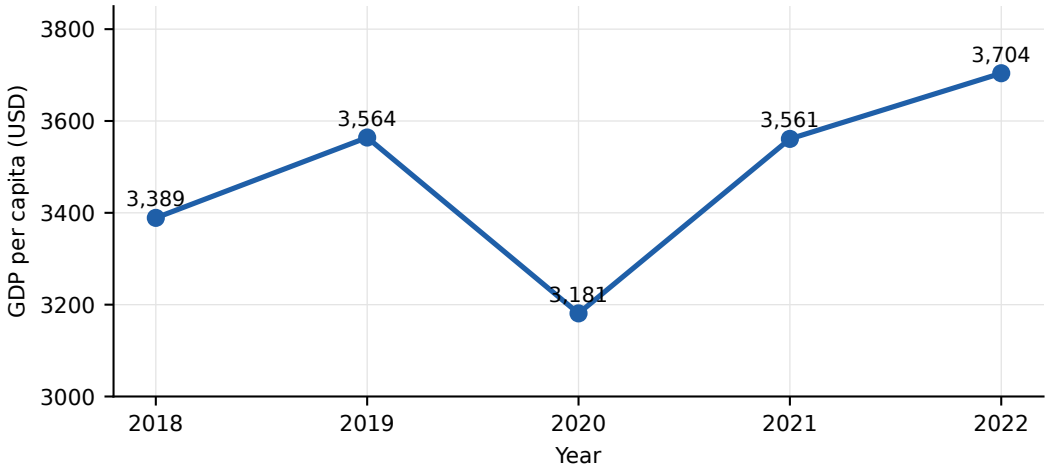
P25 Q5c [2] No, GDP and GNP are not the same: (1) **GDP counts production within the country's boundary** by both citizens and foreigners, while **GNP counts production by the citizens** inside or outside the country; (2) they differ by **net factor income from abroad**: GNP = GDP + net factor income from abroad (income earned abroad by nationals minus income taken home by foreigners). [2]



2025 Q5(d)(i): bar graph of GDP per capita.

P25 Q5d [3] (i) Draw a bar graph: X-axis **Year** (2019–2022), Y-axis **GDP per capita (Nu)** with scale 0–300 000 in steps of 50 000; bars of heights 240,756; 230,055; 270,674; 301,289; title and labels [2]. (ii) Change in 2020 = 230,055 − 240,756 = **− Nu 10,701 (a decrease)**, i.e. a fall of $\frac{10\,701}{240\,756} \times 100 \approx 4.44\%$ [1].

P25 Q7c [3] Technology and long-run growth: (1) **raises productivity** — workers and machines produce more at lower cost; (2) creates **new industries and jobs** and helps diversification (IT, e-commerce, fintech); (3) **improves quality and access** — better education, health, communication and markets — and saves resources, so income per person rises over time. [3]



2024 Q5(d)(i): line graph of GDP per capita (USD), 2018–2022.

P24 Q5d [3] (i) Line graph: X-axis **Year** 2018–2022, Y-axis **GDP per capita (USD)** from 3,000 to 3,800; plot (2018, 3389), (2019, 3564), (2020, 3181), (2021, 3561), (2022, 3704) and join with straight lines; title and labels [2]. (ii) % change in 2021 = $\frac{3561 - 3181}{3181} \times 100 = \frac{380}{3181} \times 100 =$ **≈ 11.95% increase** [1].

Quick: GDP = within borders (any producer); GNP = by nationals anywhere • per capita = income ÷ population • growth ⊂ development • real flow (factors, goods) vs money flow • S = I for equilibrium.

6 · MEASUREMENT OF ECONOMIC PERFORMANCE & GNH

P25 Q1a(vi,xiv,xviii,xix),b(iv),Q1e(vii),Q2b,Q3d,Q6d · P24 Q1a(vi,xiv),b(iv),Q1e(i,vii),Q6a,Q6d

Economic indicators

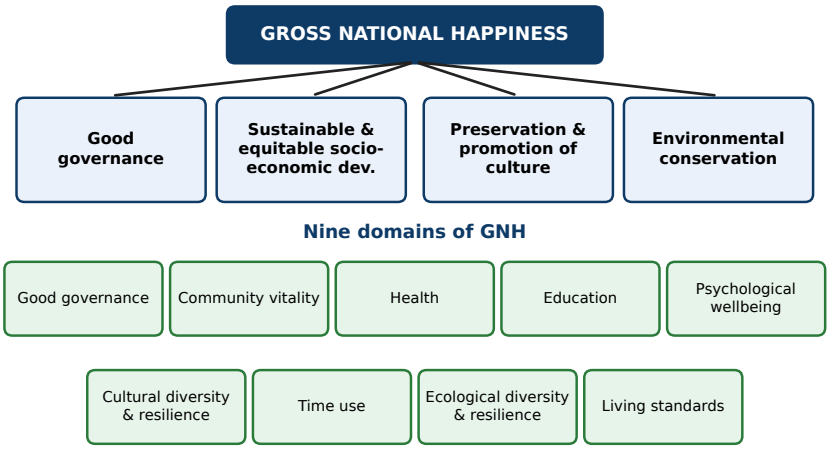
- An **economic indicator** is a statistic about the economy: **unemployment, current account, income inequality, GDP per capita, education, longevity**.
- **Unemployment:** people in the labour force without a paid job but willing and available to work; **lower** unemployment = better performance.
- **Current account:** exports and imports of goods and services in a year; a favourable (surplus) account = better performance.
- **Income inequality:** gap in income distribution; **lower** inequality = better performance.
- **Human Development Index (HDI):** scale 0 to 1, three dimensions: **longevity** (life expectancy at birth; health, spending on healthy food and exercise P25 Q1b(iv): longevity), **education** (adult literacy and school enrolment) and **GDP per capita**. Broader than GDP.

Pro-family economic approach

A policy that puts **the wellbeing of families** first, believing productivity rises when families are supported. Examples: paid maternity leave, higher minimum wage, paid day-care, **free school supplies**, equal access to education, training and health care, income enough to save.

Gross National Happiness (GNH)

- Idea of the **Fourth King (1970s)**; in the Constitution; a **holistic approach** balancing material and non-material wellbeing; "GNH is more important than GDP." Development has been aligned with GNH since the 9th Five Year Plan. GDP measures economic prosperity; GNH measures overall wellbeing P24 Q1a(xiv): D.



The four pillars and nine domains of GNH.

Pillar	Meaning / examples
Good governance	democracy, service delivery, equality, **accountability, transparency**, curbing corruption (ACC, RAA, Office of the Attorney General) P25 Q1a(vi): A P24 Q1b(iv): good governance
Sustainable and equitable socio-economic development	benefits shared sustainably and equitably
Preservation and promotion of culture	heritage, national identity, protection from harmful modernisation
Environmental conservation	at least **60% forest cover** by the Constitution

Nine domains: good governance; community vitality; health; education; psychological wellbeing; cultural diversity and resilience; time use; ecological diversity and resilience; living standards.

Economic issues

- **Global:** growth instability, inflation, global oil shocks, trade tensions, recession (short term); global inequality and poverty, exhaustion of resources, climate change (long term). **Local:** unemployment, high rent, rural–urban migration, non-performing loans, import dependence.
- **Spillover effect:** an economic condition in one country spreads to another, e.g. a rise in petrol prices in India raises prices in Bhutan P24 Q1a(vi): C.
- **Brain drain** = movement of talented, skilled people to another country for education and jobs P25 Q1a(xix): B.

Solved questions — Section A and short answers

P25 Q1a(vi), (xiv), (xviii), (xix) [1 each] vi: ACC and the Office of the Attorney General exist to improve **good governance (A)**. xiv: yoga (health, wellbeing), counselling and volunteering at an old age home build bonds between people → **community vitality (B)**. xviii: urban non-food spending (Nu 37,496) is higher than rural (Nu 24,746) mainly because **the cost of living is high in urban areas (D) (check)**. xix: **brain drain (B)**.

P24 Q1a(vi), (xiv) [1 each] vi: higher prices in Bhutan caused by Indian petrol prices → **spillover effect (C)**. xiv: **GNH emphasises a holistic approach while GDP measures economic prosperity (D)**.

P25 Q1e(vii) [2] Can a big investment in education achieve the pro-family goals? **Largely yes.** (1) Education gives children and adults **skills and jobs**, raising family income and savings, the aim of a pro-family approach; (2) **free supplies, equal access** and better literacy support every family member and reduce inequality. (It must be joined with health care, child care and jobs to meet all goals.)

P24 Q1e(i) [2] About 64,000 Bhutanese (9%) have migrated abroad. Will it benefit the country? **Mostly not.** (1) **Brain drain and labour shortage**: skilled workers and youth leave, so farms and services lack workers and the country loses its investment in their education; (2) the **population and rural villages shrink** and the gap between regions grows. (A benefit is **remittances** and skills learned abroad, but they do not replace the loss.)

P24 Q1e(vii) [2] "Major economic problems are mostly in urban areas": **I agree.** (1) **Higher unemployment** (urban 10.4% against rural 3.4% in 2022) because of rural–urban migration; (2) **high rent and cost of living**, congestion, pollution and a bigger gap between rich and poor. (Rural areas have poverty and poor services too.)

Solved questions — Section B

P25 Q2b [3] Unemployment in urban areas was 10.4% and in rural 3.4% (2022). Reasons: (1) **rural–urban migration** — many job seekers move to towns, so there are more job seekers than jobs; (2) **skills mismatch and preference for white-collar jobs** — educated youth wait for office jobs; (3) rural people are **self-employed in farming** and are counted as employed; urban jobs depend on a small private sector. [3]

P25 Q3d [2]

Local economic issues	Global economic issues
affect a **community, region or one country**; solved by local policy; e.g. rent in Thimphu, youth unemployment	affect **many countries** at once; need international cooperation; e.g. global warming, recession, oil shocks, poverty

P24 Q6a [2] (i) **Income inequality and performance:** high inequality (wealth with a few) shows **poor performance**, with low demand and social unrest; low inequality shows better performance [1]. (ii) **Longevity and performance:** a high life expectancy shows good health, nutrition and services, a productive workforce and **better performance** (it is a part of HDI) [1].

P24 Q6d [3] GMC planned on GNH: (1) **environment** — large green areas, renewable energy, forest cover and clean water and waste systems; (2) **culture and psychological wellbeing** — Bhutanese architecture, temples and mindfulness spaces, and festivals; (3) **good governance, community vitality and living standards** — participatory, transparent management, public spaces, affordable housing, jobs, walkable transport and good health and education services. [3]

P25 Q6d [3] Cultural exchange with South Korea — three activities: (1) a **performance of mask dances (cham), folk songs and dances** in the national dress (gho and kira); (2) an **exhibition and demonstration** of handicrafts — thangka, weaving, bamboo and wood work — and of archery; (3) **Bhutanese food stalls** (ema datshi), a photo exhibition and talks on **GNH and tourism**. [3]

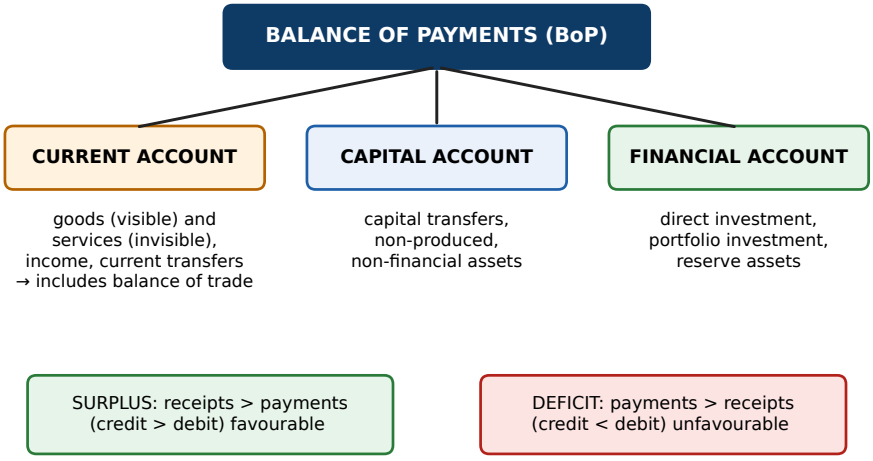
Quick: HDI = longevity + education + GDP per capita • GNH: 4 pillars, 9 domains • ACC, RAA, OAG → good governance • spillover effect • brain drain.

7 · BALANCE OF PAYMENTS & EXCHANGE RATE

P25 Q1a(vii,xv),Q2d,Q4d,Q6a · P24 Q1a(xv),Q2d,Q4d,Q7a

Balance of payments (BoP)

BoP = a systematic record of all economic transactions between the **residents of a country and the rest of the world in a year**: receipts for exports, services and capital received; payments for imports, services and capital sent out.



Components of the balance of payments.

- **Current account:** value of goods and services, income and current transfers. **Capital account:** capital transfers and non-produced, non-financial assets. **Financial account:** direct investment, portfolio investment, reserve assets. A deficit in the current account must be met by a surplus on the capital account.
- **Surplus** (favourable): receipts (credit) > payments (debit). **Deficit** (unfavourable): payments > receipts. In accounting terms the BoP always balances; in reality it is in surplus or deficit.
- **Consequences of a big deficit:** demand for foreign exchange exceeds supply → **depreciation of the domestic currency**, fall in foreign exchange reserves, more borrowing and debt, higher prices of imports P25 Q1a(xv): D.

Balance of trade (BoT)

	Balance of trade	Balance of payments
Covers	only **exports and imports of goods** (visible) and services	**all** transactions: trade, services, income, transfers, capital and financial flows
Part of	a **component of the current account**	the whole record (current + capital + financial)
Result	favourable if exports > imports; unfavourable if imports > exports	surplus or deficit

Net export = exports (X) − imports (M). Negative = trade deficit.

Exchange rate

- **Exchange rate** = the rate at which one currency is exchanged for another (the price of a foreign currency in our currency), set by demand for and supply of currency; it changes daily.
- **Appreciation** = the value of our currency **rises** against another (we get more foreign currency per Nu). **Depreciation** = value **falls**.
- **Depreciation:** imports become **expensive** (goods and services cost more at home) and exports become **cheap** for foreigners P25 Q1a(vii): C. **Appreciation:** imports cheap, exports expensive.
- **Roles:** needed for international payments; a sign of economic health; affects trade; a stable rate attracts foreign capital and helps diversification.
- Conversion: **foreign amount × rate = amount in Nu.**

Importance of foreign exchange

Foreign currency earned by exports is needed to **pay for imports** (fuel, machines, medicines), **repay foreign loans**, keep **reserves** and a **stable exchange rate**, finance development and study abroad.

Solved questions — Section A

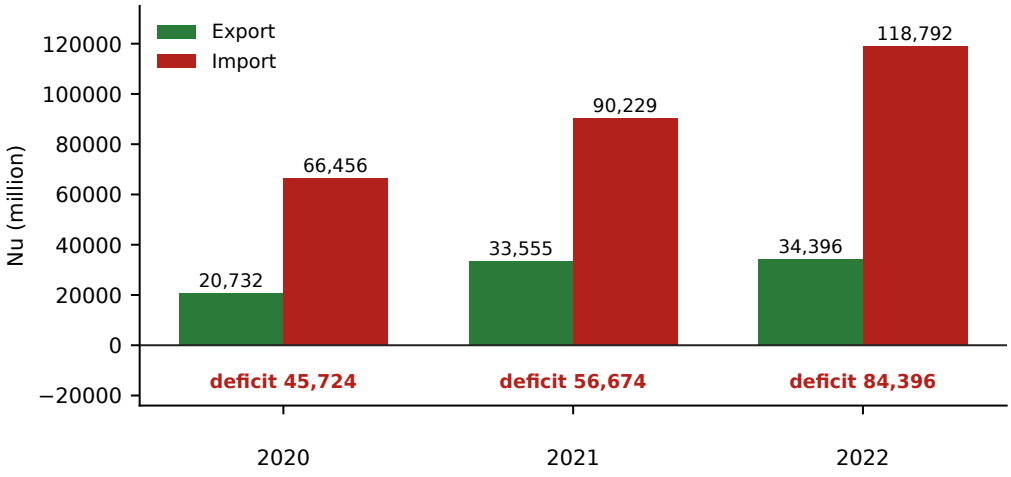
P25 Q1a(vii), (xv) [1 each] vii: when a currency depreciates, **imports become expensive (C)**, so prices of goods and services rise. xv: a huge BoP deficit leads to **depreciation of the domestic currency (D)**.

P24 Q1a(xv) [1] Exports 2022 = 26,693; 2023 = 27,913. Increase = 27,913 − 26,693 = 1,220. Percentage = $\frac{1220}{26\,693} \times 100$ = **4.57% (B)**.

Solved questions — Section B

P25 Q2d [3] — Swiss franc (i) Amount = 250 × 94.05 = **Nu 23,512.50** [2]. (ii) The rate rose from Nu 94.05 to Nu 95.30 per franc: more Ngultrum are needed for one franc, so the Ngultrum has **depreciated (lost value) against the Swiss franc** [1]. (The payment becomes 250 × 95.3 = Nu 23,825, i.e. Nu 312.50 more.)

2025 Q4(d): imports exceed exports every year

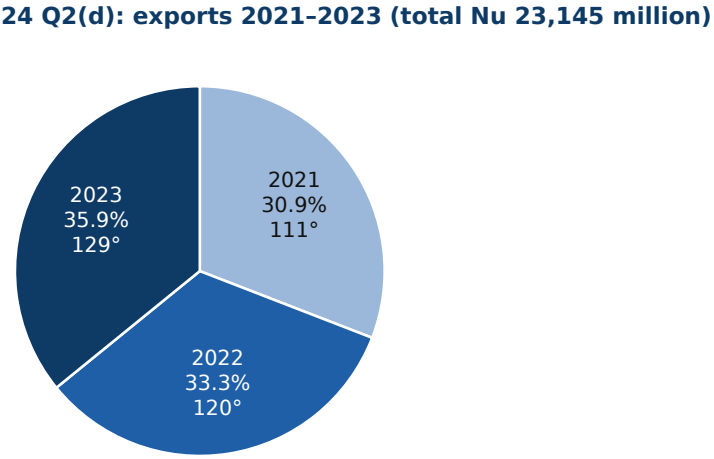


2025 Q4(d): exports and imports 2020–2022 (Nu million).

P25 Q4d [3] Imports are far more than exports every year, so Bhutan has an **unfavourable balance of trade (deficit)** that is growing: 2020: 66,456.12 − 20,732.24 = **45,723.88**; 2021: 90,229 − 33,555.48 = **56,673.52**; 2022: 118,792 − 34,396 = **84,396** (Nu million) [1]. Measures [2]: (1) **promote exports** — export incentives, better quality and branding, new markets and products (diversify beyond electricity); (2) **reduce imports** — import substitution, support to cottage and small industries and local farm produce, and higher duties on luxury goods; (also tourism and services earnings).

P25 Q6a [2] Ways to improve the current account: (1) **increase exports** of goods and services (hydropower, agro-products, handicrafts, tourism, IT) by diversifying and improving quality; (2) **reduce imports** by producing at home (import substitution), saving fuel and cutting luxury imports; (also raise remittances and service income). [2]

P24 Q2d [3] Net export 2023 = X − M = 8,301 − 21,406 = **− Nu 13,105 million (a deficit)** [0.5]. Pie chart of exports: total = 7,147 + 7,697 + 8,301 = 23,145; angles = $\frac{\text{value}}{23\,145} \times 360°$: **2021: 111° (30.9%)**, **2022: 120° (33.3%)**, **2023: 129° (35.9%)**. Draw a circle, divide it with a protractor, label each sector and give a title [2.5].



2024 Q2(d)(ii): pie chart of exports, 2021–2023.

P24 Q4d [3] A weaker Ngultrum against the US dollar is a **gain** because: (1) **exports become cheaper** for foreign buyers, so export demand and earnings rise; (2) **imports become costlier**, which encourages buying local goods and domestic industries (import substitution); (3) **tourists and remittance senders get more Ngultrum** for each dollar, raising tourism earnings and household income; the trade deficit narrows. (The cost: imports and debt in dollars become dearer.) [3]

P24 Q7a [2] Foreign exchange (foreign currency) is important because: (1) it is needed to **pay for imports** of fuel, machinery, medicines and other goods that Bhutan does not produce; (2) it builds **reserves**, keeps the exchange rate stable and lets the country **repay foreign loans** and invest in development. [2]

Quick: BoT ⊂ current account ⊂ BoP • net export = X − M • depreciation: imports dear, exports cheap • deficit → currency depreciates • amount in Nu = foreign amount × rate.

8 · TRADE POLICY & ECONOMIC COOPERATION

P25 Q1a(xvi),b(ii),c(iii,v),d(iii,v),e(vi,viii),Q3c,Q4a,Q6b · P24 Q1a(vii,xvi),b(ii),c(iii,v),d(ii,iii),Q1e(viii),Q4a,Q6b

Free trade vs protectionism

	Free trade	Protectionism
Meaning	policy with **no or minimum barriers** to the flow of goods and services P25 Q1c(v): g	policy that **restricts imports** to protect domestic industries P25 Q1c(iii): f
Tools	removes tariffs, quotas, subsidies	**tariffs, import quotas, subsidies** to local industries, import restrictions, foreign exchange regulation P24 Q1a(xvi): A
Merits	cheaper goods, more variety, competition, economies of scale, foreign investment, market access	protects infant industries and jobs, saves foreign exchange, reduces the trade deficit and dumping
Demerits	domestic industries may die; dumping of cheap or inferior goods; dependence	higher prices, less choice, less efficiency, retaliation

Tariff = tax on imported goods. A trade deficit and harm to local industries from imports can be tackled by **export promotion** P24 Q1a(vii): C. **Bhutan** has largely free trade with India and a mix of restrictions with other countries.

Regional organisations

Organisation	Facts
SAARC (1985)	**8 members:** Afghanistan, Bangladesh, **Bhutan**, India, Maldives, Nepal, Pakistan, Sri Lanka P25 Q4a P24 Q1d(iii): FALSE — Thailand is not a member. Aims: socio-economic development, stability, collective self-reliance.
SAPTA (Dhaka, 1993)	preferential trade among SAARC members; gradually liberalise trade
SAFTA (signed 2004, in force 1 Jan 2006)	**free trade** among SAARC countries; remove barriers; equal benefits; rules of origin; help least developed members P24 Q1b(ii): SAFTA
BIMSTEC	Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation; **7 members** (5 of SAARC: Bangladesh, Bhutan, India, Nepal, Sri Lanka + Myanmar, Thailand); **links ASEAN with SAARC** P24 Q1d(ii): TRUE. Aims: raise trade and foreign investment, liberalise trade, integrate least developed members, **research new areas and develop measures for strong cooperation** P25 Q1b(ii): BIMSTEC

International organisation: WTO

- **World Trade Organisation:** formed **1 January 1995**, headquarters **Geneva**. Functions: set and enforce rules of trade; forum for negotiations; **resolve trade disputes** P25 Q1d(iii): FALSE; transparency; help developing countries; technical assistance.
- **Regional** vs **international** organisation: see the table in Q1(e)(viii) below.

Benefits and problems of economic cooperation

Benefits: larger markets and **market accessibility**, foreign exchange, **consumer sovereignty** (production of goods according to consumers' choices and preferences P24 Q1c(iii): a) P25 Q1d(v): FALSE, technology and investment, better relations.
Problems: domestic industries dislodged, dumping of inferior goods, political interference and loss of sovereignty, spillover of crises, WTO decisions slow (Doha round). Selling through e-commerce platforms such as Amazon and Flipkart **increases market accessibility** P25 Q1a(xvi): B.

Solved questions — Section A and short answers

P25 Q1a(xvi), P24 Q1a(vii), (xvi) [1 each] P25 xvi: Bhutanese shops linking with Amazon, Flipkart etc. → **increase market accessibility (B)**. P24 vii: to cure a trade deficit and the harm from imports → **export promotion initiatives (C)**. P24 xvi: protectionism uses **import restrictions (A)**.

P25 Q1b(ii), Q1c(iii), (v), Q1d(iii), (v) b(ii) **BIMSTEC**. c(iii) tariffs and quotas to protect local industry = **f (protectionism)**; c(v) removing barriers = **g (free trade)**. d(iii) WTO does not solve trade disputes: **FALSE**; d(v) economic cooperation does not promote consumer sovereignty: **FALSE**. P24: b(ii) **SAFTA**; c(v) taxes on imported goods = **g (tariff)**; d(ii) **TRUE**; d(iii) **FALSE** (Sri Lanka, not Thailand).

P25 Q1e(vi) [2] Measures to boost exports: (1) **give incentives and support to exporters** — tax breaks, cheap loans, export promotion and trade fairs — and **improve quality, packaging and branding** (Brand Bhutan, organic); (2) **improve trade infrastructure and procedures** — roads, dry ports, fast clearance — and find **new markets** through trade agreements and e-commerce. [2]

P25 Q1e(viii) [1]

Regional organisation	International organisation
members from a **geographical region**; e.g. SAARC, BIMSTEC	members from **all over the world**; e.g. WTO

P24 Q1e(viii) [1] One benefit of membership: **wider market access with fewer trade barriers** (SAFTA/WTO), or **technical help and a way to settle trade disputes**.

Solved questions — Section B

P25 Q3c [3] Do international relationships always benefit a country? **No.** (1) **Dependence**: Bhutan relies on a few partners (India) so their problems reach us (spillover); (2) **domestic industries are hurt** by cheap imports and dumping of inferior goods; (3) **political and cultural interference**, loss of sovereignty and brain drain. Benefits (markets, investment, technology) exist but depend on the terms. [3]

P25 Q4a / P24 Q4a [2] P25 Q4a: the SAARC members are **Afghanistan, Bangladesh, Bhutan, India, Maldives, Nepal, Pakistan and Sri Lanka** (8) [2]. P24 Q4a: the organisation around the Bay of Bengal is **BIMSTEC** [1]; one function: **promote trade, investment and economic integration** of the Bay of Bengal region / research new areas of cooperation [1].

P25 Q6b [3] Trade relationships boost growth by: (1) **bigger markets** for exports, so production, jobs and foreign exchange rise; (2) **technology, skills and foreign investment** come with trade partners; (3) **competition and specialisation** raise quality and efficiency and give cheaper inputs and wider choice. [3]

P24 Q6b [3] Rules for a new organisation of Bhutan, India, Nepal and Bangladesh: (1) **gradual removal of tariffs and trade barriers** to give free movement of goods and services; (2) **equal rights and special help for smaller, less developed members** (Bhutan, Nepal) so that benefits are shared equitably, with respect for each country's sovereignty; (3) **a fair way to settle disputes** with transparent, regularly reviewed rules (and shared standards for environment and labour). [3]

Quick: free trade (no barriers) vs protectionism (tariff, quota) • SAARC 8, SAPTA 1993, SAFTA 2006, BIMSTEC 7 (links ASEAN & SAARC), WTO 1995 Geneva • cooperation: market access, consumer sovereignty, but dumping and dependence.

FORMULA SHEET & WORKED CALCULATIONS

every numerical question in the 2025 and 2024 papers

Formulas

Item	Formula
Marginal product (MP)	change in total production per extra worker
Marginal revenue product	MRP = MP × price (MR) — hire while MRP ≥ wage
Saving	income − consumption (income − expenses)
Simple interest	$SI = \frac{P \times R \times T}{100}$
Compound interest	$A = P(1 + \frac{R}{100})^n$; CI = A − P
Profit / loss	profit = total revenue − total cost (revenue = quantity × price)
GDP per capita	national income ÷ population
Net export	exports (X) − imports (M)
Percentage share	$\frac{part}{total} \times 100$
Percentage change	$\frac{new - old}{old} \times 100$
Currency conversion	foreign amount × exchange rate = amount in Nu
Pie chart angle	$\frac{value}{total} \times 360°$
Budget deficit	expenditure − revenue

All sums at a glance

Question	Working	Answer
P25 Q1a(ii) SI Nu 50,000, 5%, 2 yr	50 000 × 5 × 2 ÷ 100	Nu 5,000
P25 Q1a(v) tertiary share	121 889.78 ÷ 227 813.72 × 100	53.5%
P25 Q1a(xi) mangoes	138 kg × 120 = 16 560 − 9 500	profit Nu 7,060
P25 Q2d Swiss watch	250 × 94.05; new rate 95.3	Nu 23,512.50; Nu depreciated
P25 Q4b wage schedule	excess demand → wage up; 4 − 10 < 0 → excess supply	A = Increase, B = Excess supply
P25 Q4d balance of trade	M − X for 2020, 21, 22	deficit 45,723.88; 56,673.52; 84,396
P25 Q5d(ii) GDP per capita 2020	230 055 − 240 756	− Nu 10,701 (−4.44%)
P25 Q7b deficit	69 156.613 − 52 626.582	Nu 16,530.031 million
P24 Q1a(ii) capital demand	600 → 300	decrease Nu 300 million
P24 Q1a(x) Babu's saving	52 000 − (15 000 + 2 500 + 1 000 + 2 500)	Nu 31,000
P24 Q1a(xv) export growth	(27 913 − 26 693) ÷ 26 693 × 100	4.57%
P24 Q2d(i) net export 2023	8 301 − 21 406	− Nu 13,105 million
P24 Q2d(ii) pie of exports	total 23 145; × 360°	111°, 120°, 129°
P24 Q3b loan Nu 500,000, 9%, 5 yr	500 000 × 1.09^5 = 769 312; ÷ 60	≈ Nu 12,822 per month
P24 Q4b MP / MRP	MP: 10, 12, 11, 9, 8; × 450	A 10; B 4,950; C 9; D 3,600; max 4 workers
P24 Q5d(ii) GDP per capita 2021	(3 561 − 3 181) ÷ 3 181 × 100	11.95% increase

SECTION A ANSWER KEY — 2025 & 2024

Q1(a) 20 MCQ, (b) 5 blanks, (c) 5 matching, (d) 5 true/false · (check) = reasoned answer

2025 — Q1(a) MCQ [20 × 1]

No.	Ans	Why (short)
i	**A**	equilibrium: demand = supply
ii	**C**	SI = 50 000 × 5 × 2 / 100 = 5,000
iii	**B**	I, II, IV boost; more old people does not
iv	**D**	direct tax: on income and wealth
v	**B**	121 889.78 / 227 813.72 = 53.5%
vi	**A**	ACC and OAG → good governance
vii	**C**	depreciation makes imports expensive
viii	**C**	raise wage and improve facilities
ix	**D**	stability and jobs in the long run
x	**B** (check)	S shifts right: better facilities
xi	**C**	16 560 − 9 500 = 7,060 profit
xii	**C**	grants do not solve all challenges
xiii	**B**	savings up, investment same → activity falls
xiv	**B**	community vitality
xv	**D**	deficit → currency depreciates
xvi	**B**	e-commerce increases market accessibility
xvii	**A**	dignity of labour
xviii	**D** (check)	high cost of living in urban areas
xix	**B**	brain drain
xx	**D**	rate of GDP

2025 — (b), (c), (d) [5 + 5 + 5]

	(b) blank	(c) match	(d) T/F
i	**labour**	**d** investment	**TRUE**
ii	**BIMSTEC**	**a** professional	**TRUE**
iii	**direct**	**f** protectionism	**FALSE** (WTO settles disputes)
iv	**longevity**	**b** skilled	**TRUE**
v	**saving**	**g** free trade	**FALSE** (it promotes consumer sovereignty)

2024 — Q1(a) MCQ [20 × 1]

No.	Ans	Why (short)
i	**C**	better workplace and amenities
ii	**A**	demand 600 → 300: decrease of 300
iii	**D**	custom duty is indirect
iv	**A**	public sector: I, II, IV
v	**C**	non-rival
vi	**C**	spillover effect
vii	**C**	export promotion
viii	**B**	derived demand up → wage up
ix	**D** (check)	skill + physical ability
x	**D**	52 000 − 21 000 = 31,000
xi	**A** (check)	less consumption → more saving → investment
xii	**D**	more interest payments
xiii	**B**	tax incentives for start-ups
xiv	**D**	GNH is holistic; GDP is prosperity
xv	**B**	1 220 / 26 693 = 4.57%
xvi	**A**	import restrictions
xvii	**D**	MRP ≥ wage
xviii	**C**	eco-friendly products = social responsibility
xix	**D**	low rate on borrowing, high on saving
xx	**D**	labour for wages = real flow

2024 — (b), (c), (d) [5 + 5 + 5]

	(b) blank	(c) match	(d) T/F
i	**profit**	**d** per capita income	**TRUE** (consumption)
ii	**SAFTA**	**e** derived demand	**TRUE**
iii	**current**	**a** consumer sovereignty	**FALSE** (Sri Lanka, not Thailand)
iv	**good governance**	**b** inelastic	**TRUE**
v	**national**	**g** tariff	**FALSE** (for unforeseen needs)

LAST-DAY CHECKLIST

tick when you can write or draw it without looking

- ☐ **Diagrams:** equilibrium wage with excess supply and excess demand; shift of D (price and quantity both rise) and shift of S (wage falls, quantity rises); equilibrium interest rate; circular flow with saving and investment.
- ☐ **Labour:** four types; derived demand; MP and MRP table (hire while MRP ≥ wage); factors of demand and of supply; dignity of labour.
- ☐ **Factor income:** wage, rent, interest, profit; saving vs hoarding; four deposit accounts; gross vs net interest; SI and CI; profit = TR − TC; business ethics.
- ☐ **Bhutan's economy:** features; diversification; roles of public and private sectors; income = consumption + saving; ways to raise saving.
- ☐ **Public finance:** direct vs indirect tax with examples; tax vs non-tax; current vs capital expenditure; budget and supplementary budget and their importance.
- ☐ **Growth:** economic vs non-economic, intermediate vs final, public vs private goods; GDP vs GNP; growth vs development; real vs money flow.
- ☐ **GNH and indicators:** HDI (longevity, education, GDP per capita); 4 pillars and 9 domains with examples; spillover; brain drain; pro-family approach.
- ☐ **BoP:** current, capital, financial accounts; BoT vs BoP; surplus vs deficit; appreciation vs depreciation; exchange-rate sum; importance of foreign exchange.
- ☐ **Trade:** free trade vs protectionism; SAARC (8), SAPTA, SAFTA, BIMSTEC (7), WTO (1995, Geneva); benefits and problems of cooperation; regional vs international.
- ☐ **Graphs:** bar (GDP per capita), line (GDP per capita USD), pie (angles = value / total × 360°); scale, labels, title.
- ☐ **In answers:** write exactly the number of points asked; state your stand first in "justify" questions; use a Bhutanese example; show formula and unit in sums.